TABLE 26.1 Test for Active or Passive Traits

Question	Response A	Response B
Have you earned the majority of your wealth in your lifetime?	Yes	No
Have you risked your own capital in the creation of your wealth?	Yes	No
Which is stronger: your tolerance for risk to build wealth or the desire to preserve wealth?	Tolerance for risk	Preserve wealth
Would you prefer to maintain a degree of control over your investments or prefer to delegate that responsibility to someone else?	Maintain control	Delegate
Do you have faith in your abilities as an investor?	Yes	No
If you had to pick one of two portfolios, which would it be?	80-percent stocks/20-percent bonds	40-percent stocks/60-percent bonds
Is your wealth goal intended to continue your current lifestyle or are you motivated to build wealth at the expense of current lifestyle?	Build wealth	Continue Current lifestyle
In your work or personal life, are you generally a "self-starter" in that you seek out what needs to be done and then do it, or do you normally take direction?	Self-starter	Take direction
Are you "income motivated," or are you willing to put your capital at risk to build wealth?	Capital at risk	Income motivated
Do you believe in the concept of borrowing money to make money/operate a business, or do you prefer to limit the amount of debt you owe?	Borrow money	Limit debt

Understanding active and passive traits is important because passive investors tend toward certain biases and active investors tend toward different biases, which we will see later in the chapter. Table 26.1 shows questions that probe the active/passive nature of clients. A preponderance of "A" answers indicates an active investor; "B" answers indicate a passive investor.

Step 2: Administer risk-tolerance questionnaire. Once the advisor has classified the investor as active or passive, the advisor administers a traditional risk-tolerance questionnaire (not included here). The expectation